SI410: The Next Evolution of Trend Following ft. Nick Baltas

Podcast: Top Traders Unplugged

AI Executive Summary

Core Thesis The episode explores the evolving landscape of systematic investing, focusing on how technological advancements (AI), market expansion (market universe size), and structural shifts (thematic/narrative investing) impact risk management and return generation for trend followers and CTAs. The central theme is that while new dimensions—such as "narratives" or "exotic commodities"—can offer incremental value, successful systematic investing requires integrating these with fundamental principles of dimensionality reduction, human supervision, and robust risk modeling to avoid the pitfalls of increased correlation and spurious leverage.

Key Arguments & Data * AI Evolution & Supervision: AI models are currently evolving at a rapid pace, with "best-in-class" models being replaced as frequently as every 10 to 20 days. While LLMs serve as powerful efficiency tools for research synthesis and coding, they necessitate a "human-in-the-loop" approach to prevent "hallucinations" (erroneous associations) from undermining quantitative accuracy. * **Market Universe Optimization:** Research from Graham Capital suggests that expanding a trend-following universe with additional macro-oriented markets (e.g., major equities and currencies) yields diminishing returns because they share underlying principal components. However, adding exotic commodities can enhance long-term performance. An optimal range for trading is suggested to be between 50 and 100 markets. * **The Three Tiers of Hedging:** Using One River Capital's framework, defensive solutions can be categorized into three buckets: * *First Responders:* High-cost, volatility-option-based hedges that react to flash corrections. * *Second Responders:* Trend following, which provides "crisis alpha" for multi-month downturns. * *Diversifying Elements:* Assets with low/negative correlation to equities used to moderate the cost of carry for the first two buckets (with a warning against using short gamma strategies that recreate downside risk). * **Thematic & Narrative Momentum:** Thematic investing is essentially a "tagging operation" or dimensionality reduction. * *Risk Implications:* Failing to account for thematic clusters in covariance matrices can lead to an upward bias in predicted risk, making a portfolio appear riskier than it

actually is. * *Return Implications:* "Narrative momentum"—the ability to track the rising and falling popularity of themes via NLP analysis of millions of articles—can act as an alpha generator by identifying stocks that benefit from increasing investor allocation to specific "hype" cycles. * **Portable Alpha & Leverage Management:** To mitigate the perceived risks of adding trend-following leverage to equity portfolios (portable alpha), investors should focus on managing "upside participation." Rather than simply stacking risk, the strategy should aim to protect against macro/inflation shocks where both equities and bonds fall simultaneously.

Actionable Takeaways * Refine Risk Modeling: Incorporate thematic and categorical associations into covariance matrices to prevent an overestimation of portfolio risk and more accurately distribute capital across correlated clusters. * **Strategic Universe Expansion:** When seeking to expand a systematic strategy, prioritize the inclusion of less liquid or "exotic" commodities rather than simply adding more liquid macro assets (like G10 currencies), as the latter offers less incremental dimensionality. * **Audit Defensive Overlays:** When selecting diversifiers for a hedging program, avoid instruments that rely on short gamma exposure; these can inadvertently introduce significant downside risk during periods of high volatility. * **Leverage with Cautionary Design:** For investors utilizing trend-following overlays on equities, structure the trend component to moderate equity upside participation during extreme peaks, thereby reducing the net leverage-induced volatility of the total portfolio.

Full Transcript

Welcome to Top Traders Unplugged. In markets, success doesn't come from predicting what happens next. It comes from being prepared for what you can't predict. In each episode, we go deep with some of the world's most thoughtful minds in investing, economics, and beyond, to understand how they think, how they prepare, and how they decide, and the experiences that shaped how they see the world. No noise, no shortcuts, just real conversations to help you think better and invest with confidence. Welcome and welcome back to this week's edition of the Systematic Investor Series with Nick Baltus and I, Niels Kastrup Larsen, where each week we take the pulse of the global market through the lens of a rules-based investor. And let me also say a warm welcome if today is your first time you're joining us and if someone who cares about you and your portfolio recommended that you tune in to the podcast Let me also say a big thank you to you for sharing this episode with your friends and colleagues. It really does mean a lot to us. Nick, it is wonderful to be back with you this week. It's been a little while. How have you been? It is quite a while, actually. I'm doing very well. And in a good signal, I'm doing very well. Absolutely. A very, very busy summer. We're still busy about looking forward to kind of the summer break. Absolutely. In a week.

Yes. I think we kind of took a head start. We're wearing matching summer t-shirts today on our record. It's a Friday. It's a summer day in London. It's a summery summer actually in London. Absolutely. And I know that you literally just landed to get here for this recording. So I really do appreciate the commitment to the show this week. Always, always. We have a few papers, a few different topics. I'm sure we're going to go off track and do other interesting conversations as well in the next hour or so. But as you know, I always love to hear kind of what's been away from the topics, what's been capturing your attention in the last few weeks that you have found kind of interesting. I mean, we always talk about kind of the markets or in a way, we talk about the markets, we talk about some of the asset class moves and maybe some client activity. Maybe I just changed the script because I was kind of, so this, it's been like 10 days, I've been kind of listening to another book. It's an interesting one because the title, maybe

you know it, right? And we did not prep that at all. So, you know, it's kind of a surprise to you. It's called Die With Zero. And yeah, it's, you know, a friend recommended that to me and said, listen to this or read that and kind of give me your view about it. And it all talks about how we always work long hours and we strive to become better and get paid more and so on and so forth. But the reality is that while money accrues interest, we as human beings accrue memories. And memory dividends are ultimately what we care about when we grow older. And the whole point is try to make the best you can.

to put out time and money to eventually invest in experiences, right? Which ultimately you make out your life period, right? And therefore kind of looking back, the more of those memories you develop at the right age. with the right people or with the right, I guess, setting, um, you know, the, the happier you'll end up being the next time goes by. So it's a bit of a reflection point because obviously we all grow up, you know, we end up having kids, you know, they used to be babies now that like no toddlers at some point, they will go to school and soon after that, then they leave house, um, they leave the house. So it's an interesting one, frankly. It's an interesting one. So like die with zero. There you are. That's what is on my radar. How should I redial my day to day on, on that basis? Yeah, absolutely. And, uh, maybe, maybe it'll be the the audiobook that I'm going to listen to on my next long drive from Switzerland to to Denmark. Yeah, absolutely. Let me know what you think. Yes, I will. I do agree with this thing about experiences I was sharing with you of last week that actually I had one kind of in that line in the last couple of weeks because I did go with my family to a wonderful experience which was a a concert in Milan with Bruno Mars. And I like his music, but he's an amazing entertainer. And it just was one of those experiences that you think back off and say, yeah, I'm going to remember this for a long time. So I completely, I completely get it. Speaking of experiences, speaking of memory, I'm going to change the subject a little bit because one of the questions I get a lot is how does AI impact?

CTAs and trend following. And I read an article in the last few days about one of the key things that's changed this year is that the quote unquote best model at the moment get replaced like every 10, I think it was every 10 days or even 19 days, unlike last year where the best model could last for

three months or four months and probably much longer before that. So one thing is us as individuals, okay, we can probably just switch to whatever model we subscribe to, and it's not going to make a huge change. But if you're sitting in a big corporation, you're trying to manage, how do you get the most out of AI? How do you make sure you have the best tools? And especially, I would imagine in finance, if it's used heavily to get some kind of advantage, I feel it must be very, very difficult now.

for firms to manage the whole process of how do you integrate AI if it's changing all the time, not from like, okay, you have one open AI model to another. That's one thing, but these are different firms. These are completely different models that become best. So with your seat sitting in one of the largest, most successful investment banks, I don't know how much you use AI yourself, but generally speaking, and I know it can only be general, but how do you think about keeping up with AI, if you know what I mean? How do you even think about it nowadays with what's happening in that field? I mean, I would say just personal opinion, right? And you're right in the sense that even taking out corporations for a second, even us, like human beings, kind of...

Keeping up with how those models progress Is is I mean is is in itself a challenge on maybe to your point you might as well just use the Version I don't know t-minus one you probably get pretty much all you need without even having to to update to the latest model because the latest one will become Your current model that you know the month after right so I I agree with your point just to start with now going into how corporations are like how Broadly speaking, research teams or product teams or organizations like ours is looking into the space. Of course, there is a lot of deployment. There's a lot of focus. There are technology teams that have been put together to work in those models and see how they could be incorporated in a day-to-day. Obviously, under supervision and guidance and human in the loop and processes, these are important not just because they are important but because also by regulation we're required to make sure that everything works and operates in the sound and put in manner. I guess the use of those models, the primary use at least in my view and the things that we see on the day to day is more to enhance the research and there are ways that we

utilize it and I personally use it to enhance the research and that has to do anything from collecting information, synthesizing information.

speeding up, if you like, the thought process through a model. I have my own debates and these are more philosophical as to how the human brain will kind of continue evolving if ultimately everything becomes a prompt and the prompt speedouts and answer. I think we're at this important inflection point whereby we have been trained without it and we can assess the output and we have the wisdom or maybe the experience or the expertise to call the bluff from the truth. Obviously, the models become better. I remember like maybe a year ago, I was asking one of the LLMs to do some research on the latest of all things during following papers. And it was just coming up with all sorts of hallucinations, random people, random names. But you could find that some of the names or some of the paper titles were actually valid. But the association it was making between all of them had no ground. These days is way better, frankly.

You know, you see the evolution through time. But I think the critical thinking is required, at least for now, to assess the output. There are cases whereby the output is of closed form in the sense of, you know, prove this to me. And then you can actually read through and, you know, with sense, you know, with sensible assessment of the output, you can argue whether this is the right thing or wrong. But open questions like, give me an overview of performance of trend followers year to date. You know, I did that maybe three or four months ago. had I not known what the performance has been, I would have like, okay, that sounds reasonable. It was dead wrong, right? So I guess very long we did answer to say that it's a significant efficiency tool when it comes to coding, when it comes to researching. I mean, we have to operate with human in the loop. And I think that goes beyond what Goldman Sachs or any other bank or organization would have to undergo.

I think it's more like the social impact eventually this would have. Obviously the token usage, the cost associated with it, these are things to come and it's hard to predict how they will play out. But yes, it's... I think it's one of the revelations or revolutions of our generation. I think the previous one maybe was internet, frankly. I cannot recall like... Chains in

the way that we operate in such a short period of time like no if you think of ourselves maybe like a year ago or two years ago, right? It was actually quite different. Yeah, it was different. Yeah, I'm not a techie but I am interested in space and so at least what I've managed to do is kind of build a little agent that goes out every morning before I wake up and And I've given it certain things to collect for me, like performance of the main CTA indices, performance of the main tradition, pretty much the indices I talk about on the podcast, by the way. And then also, finally, the five most interesting relevant stories about trend following and CTAs. And I will say, I mean, first of all, it not always get the numbers right. Maybe the websites are not completely updated, but most of the time it actually does now. And secondly, it actually has flagged many of the research papers we end up talking about. So I'm fascinated by it and I need to come up with a name for it, but there we are. But I think maybe my last sentence on the topic, you said you're not techie, but I think that's the beauty or maybe the amazing thing about it, right? It's a significant enabler. But that's where supervision requirement becomes more and more and more important, right? Because the output of it has to be somehow supervised. And in the absence of some expertise or experience or both, it can be uncontrolled until maybe it becomes smarter than any of us and supervision comes with an AI supervisor. But we shall see. We shall see. Now, if we didn't have AI, Nick, we would have to work a lot harder. So I'm glad to tell you that the other point I found on my radar is and some news story from the American Heart Association because they have concluded now that for adults, for most adults, I should say, actually roughly three to eight, sorry, three to five cups of eight ounces of coffee is actually safe and it doesn't seem to have any negative cardiovascular consequences. It might even be associated with lower rates of heart disease, stroke and failure.

So I guess that's the benefit. Now it doesn't mention anything about the risk of being around someone who just downed five big large cups of coffee. I'm a buyer. I'm a coffee lover. I'm a buyer. I'll take it. Anyways, let's move on to some trend following updates. I mean, we had a week in June. We had a, well, I'm speaking generally speaking. It might be much better for you. I know you're having a good year. We had a week June as an industry. We had a soft start to July. Now, things seems to be turning around in the last week or so for CTAs and trend followers. And it seems to be led by

energies, currencies, fixed income. But what's interesting, at least from where I sit, is It seems like it's not all markets within a sector that's participating. So it's like a trend picker's market if there's such a thing that's probably not really a term. So we are definitely seeing an improvement. I think we're seeing positive numbers for the main CTA indices now. And so I'm curious to to hear your thoughts on the trend environment at the moment and maybe also if, you know, I know you can't share anything confidential, but kind of what you hear and what you talk with people about in terms of their interests, do you see people getting excited about putting on maybe some diversifying risk given the fact that there are a lot of geopolitical risk out there.

And we have seen some weakness in certain parts of the equity space. So just curious to hear what you are coming across and what you're seeing. Yeah, for sure. So I think on our side, I would possibly reflect and confirm your points with regards to July. I think it's been a good month actually so far. But this is primarily driven by rates activity in the last week, really. So the sell-off in the rates and obviously the short exposures has been helping quite substantially. I mean, some of the models that actually try to put a threshold on how aggressive they would be with weak signals have been lagging a bit behind because in all fairness, with a weak signal, you have to also be lucky. And obviously a short position that is not too large in the absence of strong signaling.

could be deemed as lucky if eventually you end up having a sell-off in the market and you're short the market even by a small amount as the month kind of kicked off. Commodities is certainly the other segment that has been helping both year-to-date but also month-to-date. Equities and effects are more like flat-ish or a bit down month-to-date, but at least that is for us. That's the seven month of the year, right? 5th out of 7, assuming it closes positive with a good return. Setting aside, obviously, June, that we have this reversion primarily in equities. And then, what's the other one? I'm just checking here, March. So it's been a good year for the variety of kind of programs we have in that space. And it's also been a very good year for diversifiers to turn following. So like, for example, Kerry has been very, very strong.

both in the FX space and as you would imagine the commodity space with the maceration we're seeing on the back end of the of the geopolitical activity in terms of at least in that space in terms of investor interest There is certainly increased interest, you know across all fronts There is increased interest perhaps driven by that is in performance there could be obviously data points associated with some level of protection. And I know we're going to discuss a few topics later, again, back on the topic of how trend following can be seen as a defensive trade. So all in all, it's been a good year, and it's been a good activity year for the trend space. And the entire piece of this kind of must be strut, the enhancement and so on and so forth. I think we've discussed it quite a number of times. I think the reversion space, kind of skewness driven, the reversion space has had a very strong four or five months of the year.

It's been a bit more kind of mind-reverting itself. But when we talk about diversifying entities and diversifying Premiere, it's a month whereby trend following is doing very strongly, reverse not so much, but the aggregation of the two is still a positive number. So it's been good validation of what I've personally been a big fan of for the last two, three years that we're chatting. Outside of the trend space or maybe should I make a post here if you have any comments or questions? If you want to add one thing as you go through this would be if there is anything that kind of surprised you about 2026 so far, anything that kind of stands out. But other than that, continue to talk about the other topics or the other things you wanted to bring up in this context. I mean, I would not say surprising, but I would say This is something we have discussed, I don't know how many times, obviously, here, not just with me and with the rest of the crowd, the typical V shapes, the one per year. So we had one this year, right, in March. But it wasn't really the same as it was the years before because it was more of a fast recovery rather than a fast drop.

and then a slightly slower version, but still in itself was a v-shape. So it wasn't necessarily the environment for the followers to operate. It wasn't as impactful as it was for the years before. But what I was, I wouldn't say surprised, maybe happy with the validation of it is that some of the work that we have put into thinking about dynamic volatility scaling actually played out quite nicely. So it was quite beneficial in this regard. Anything

surprising? Nothing really surprising. I mean, there's nothing that, you know, we had expectations for maybe at least from the way that we look into performance. It's been a good year. And, you know, could we foresee a year whereby I guess the equity markets will be rolling as they have, obviously with the temporary poses of that, you know, having those strengths playing out. Maybe yes, maybe no.

But nothing has to be so bright. All right, let's go and run through the numbers. These numbers are as of Wednesday, even though we're recording Friday, but they have not updated as of last night. So as of Wednesday, beta 50 is up 1.34% in July, up 10% so far this year. So can CT index up 0.89% in July, up 10.37% for the year. And the trend index up 94 basis points up 10.15% so far this year. Short-term traders index, unfortunately, down about 0.6 and up 4.52% so far this year. MSCI, this is as of last night, down 84 basis points in July, up 9% for the year. US aggregate bond index down 96 basis points and down 12 basis points now for the year. And the S&P 500, that's definitely a wrong number that I would have typed. So I'm not even going to mention it.

I think it's from last time I spoke to you. I'm thinking, no, no, no, we're not down 3% yesterday. So, okay. All right. Okay. That's what happens when you have a busy schedule. Anyways, let's let's talk about the paper. So we kind of divided the papers up to two in two groups. There are two papers that came across that we want to mention. We want to acknowledge And then there are two papers that you kind of have a much closer relationship to, which actually Joav kind of stole our thunder a little bit in a good way because he gave you very high praise for the conference you had put on recently and where these papers were mentioned. But since you are much closer to them, it's great for you to come and walk us through them. But let's start out as we planned.

And the first paper, it's very short. It's produced by our friends over at Graham Capital. And it's a topic about market universe. The title of the paper is An Expanding Market Universe. And it's written by Nashja Betke and Thomas Feng. And yeah, can you say a little bit about what what their main kind of it's about? You know, obviously, as we've talked about many times, how many markets you need to trade and, you know, how does the

benefits show up and when does the benefit kind of disappear? What's your takeaway from their quick small paper here? Yes, this is one of those examples whereby you know that, you know, at least from stylized facts, this should be the outcome, but you never actually seen the evidence for it. You're like, yeah, of course it makes sense. As soon as you kind of see the evidence. It reminded me a bit.

the work by man that we discussed a few months ago, right? And they were making the point, I guess, for those that haven't actually listened to that episode. They make a very interesting point, which is trend follower does two things, high level, long-term positive returns, and some downside protection, some crisis alpha. Now, depending on which one of the two is your major objective, you can make the universe smaller or broader. So if the focus is to have more crisis alpha or defensiveness, you should focus on a small core universe because in a downturn, the principal components dominate. Equity markets as a whole or duration are the ones driving returns. So the more associated you are with those, the greater the return in a downturn. But if the objective is to have a longer term performance, more diversifying entities should come to your universe and therefore you should add more markets.

perhaps at the expense of defensiveness, they would not necessarily hurt in defensiveness, but they would not add to it. So that was what we had at the time. Yes. So what this report now talks about by Graham is to say, hey, assuming you have those kind of core 68 markets, let's start progressively adding more in terms of kind of liquidity. you would progressively start adding less and less and less liquid markets by design, they become more exotic, and therefore they are less liquid. And what you end up finding is that, broadly speaking, as soon as you cross 70 to 80 markets, the less liquid markets do not really add much in terms of performance. But then they go one step further and say, this result, it's actually more of a kind of conditional result on what those markets are.

So they split those markets into more macro oriented markets, like equities and currencies and fixed income. And this is where they see no incremental value. So if you go to the less liquid markets, less liquid currencies, or maybe some emerging market equities, or maybe some interest rate swaps,

the underlying principle of return is still very macro driven. The principal components are there with the pre-existing universe. Just by adding an incremental market of 1 or 2 or 3 or 4 or 10 or 20, it doesn't really add dimensionality in your universe. So there is not too much of an enhancement. But there is some enhancement if those markets end up being more exotic commodities. And then they have like, no, non-Chinese commodities, Chinese commodities showcasing that you can now expand the universe more than 100 markets and still get some incremental value.

when it comes to long-term performance. So it kind of related a bit to the man work. And at the end, they also make the point that, look, those markets come with lower liquidity. So do not anticipate the performance increase to be as linear as you would expect it to be. There will be a bit of a hump coming from the lower liquidity, right? So again, is it surprising? Not very much. Was it in line with the expectation? Yes, it was. Is it nice to see it kind of on a piece of paper? I mean, it gives some comfort that, yes, exactly what we knew is kind of that. So that's the whole thing. Yeah. And just our curiosity, where do you sit on this? What do you think is a good range in your view? I mean, we typically operate between the 50 and the 100. Okay. So we're basically in the, I mean coincidentally, it seems to go kind of hand in hand with how we think about the world, you know, being around like the 20 per asset class. Right.

bucket seems to be like another level that we kind of settle. What it does validate is that attempts to go broader either come at the expense of capacity, or no impact whatsoever, because you basically end up, you know, if you have some kind of top level risk distribution, and you say, my rates markets will contribute X percent of my total risk, the more rates you add into your program, the more each one of those markets will be, the less each one of the markets will contribute individually, so that the sum remains the same. So if you're adding pretty much the same principal component at lower liquidity flavors, you don't really add performance, but you're basically kind of impacting the liquidity of the overall program. So it is frankly validating some of our results. And the bigger, I guess, value-add is really coming from the commodity space.

Okay, makes perfect sense. All right, let's move on to another paper that came on my radar. It's from the company called One River Capital. It's called The Perfect Hedge. It's by Patrick Casley. He's the author here, I believe. It's certainly playing on themes that we have seen before, just like the other paper for that matter. I mean, sometimes I guess it's also difficult to come up with brand new, brand new things to write about when, and I should know because I've been talking about trend following now for 13 years every week. So I know it's difficult. So anyways, it talks a little bit about kind of the first responder, second responder and all of that. Was this again for you just a nice kind of confirmation that here's another group that kind of buys into it or finds the same argument valid or was there anything that you noticed that was a little bit different from, I think Makita wrote about this. I think you wrote about this as well. Anything? Yes. So as you say, Makita has written about this topic like the risk mitigation for years, we have done it.

Very similar things in terms of devising frameworks to design defensive solutions on the systematic side Yeah, and to your point they basically break down a defensive solution into kind of three major buckets the first responders and that's like more like Kind of volatility option-based hedges. They come with low bases high cost Reactive around flash corrections Then trend following kicks in as a second responder and you know, we know that quite well. It's the crisis alpha, but not the few-day crisis, but more like the multi-month crisis. So no surprises there. And then obviously there's a third bucket, not a responder anymore. And it's more of a diversifying element that can moderate the cost of carry for the other two. And this is obviously the more alternative risk-premia maybe, or...

flat to negative correlation to equity markets obviously not convex but certainly not concave either and You know they present all those ideas, you know, they try to Describe the benefits as well as the downside so if it's one of them depending on the economic regime somebody's looking at so frankly not a significant level of surprises or misalignment I was actually happy to see that some of those views are shared by the industry and It also validates the fact that us addressing those needs for the last good amount of years suggests that there is interest, but there is also focus and institutions start becoming much more focused on protecting the downside. So that was

a bit of an indirect testament, right? If somebody is still to this day is putting out those reports, it is obvious that there is need and demand. Some of the small snippets, that were actually very useful and I very much agree with and I'm a big proponent of, is when they talk about, for instance, what is the diversifying entity here, that is going to help the other two not to bleed significantly through time. It cannot be a short gamma exposure. At least from my experience and seeing the industry, there are times attempts to make defensive portfolios perform better in the long term.

But what you end up doing is that you're almost recreating some downside risk from your diversifying entity to finance your hedge. And by all means, there's nothing wrong with that, but this is not any more defensive overlay. It's a relative audit rate. So there was a few snippets here and there, and that was maybe the more relevant that I could very much associate myself to it and relate with it. Beyond that, they have a number of good analysis for those that have the report. would see some value, very similar to some of the things that in the UNI have discussed in the past. They have some trend models and they show on a per year basis which model does better. They have different speeds for trend followers and they show which year which speed has done better. So there's a few snippets as such. I think there's a third one that says, should we have an integrated trend program or a portfolio of asset class trends, which one is performing better in which year?

So there is a bit of analysis for the threadlovers in the report. And I guess perhaps that's part of the reason why we're also chatting about it today. And that's it really. So yeah, there is nothing that I disagree with, frankly speaking. Pretty much aligned with my views. And I think you've heard me speaking about that many times here. I have indeed. A couple of questions that kind of sparks from this in general. One is, this idea that maybe investors might think that if we made the trend following side more responsive, i.e. shorter term, it will be a better hedge. But I think, I don't know if this is in the paper in terms of a conclusion, but I think you and I probably would agree that the challenge is that, yeah, it might be better for a few days, but it ended up costing you more.

In the long run, you know, again, going back to this idea that the short-term trend following doesn't really work in the long run and it's probably become worse in the last decade or so. But I think that that's again something where it might be a little bit counterintuitive for people to think that being a bit slower might be better in the long run. So that's just one thing to think of. The other thing I wanted to ask you actually is, you know, what has become also very popular is portable alpha. And I think a lot of investors probably would love to have something that can help them out when their equity portfolio is under stress. And I'm just using equities. It could be fixed income for that matter, but let's just use equities as the underlying traditional asset here. Now, what would you say if someone came to you and said, Nick, I really like this idea of portable alpha, but I come from a world where adding leverage to my portfolio by putting trend on top of my equity portfolio feels unsafe, risky. How do we best make it clear that adding, quote unquote, no shall leverage is less of an issue because the kind of extra leverage you're adding is, quote unquote, the trend which Historically at least we can't talk about the future. Historically has been negatively correlated when your equities have gone into a longer crisis. How do we demystify the word leverage for people who are used to know you can only invest 100 if you manage 100? Yes. So I guess two things on this one.

Portable Alpha has become again popular after like 15 or 20 years. But to your point, this whole concept of unfunded or stacked exposures has become indeed popular. And of all things trend following is maybe one of the vehicles that is utilized in that context. And then to answer your question directly, my take on that would go along the lines of enhancing equities with a trend follower. I think it should come from the perspective of perhaps reduced upside participation in the trend program. So you don't buy design double up on your equities risk on the upside. If it's an equity bond portfolio, I think the story is slightly different because ultimately your biggest concern is inflation spikes and equity bond correlations. And in that context, at least in my view, a more unconstrained profile, at least statistically, is here to protect the main shock scenario for an equity bond portfolio. The equity bond portfolio is not facing its worst challenge when equities are falling. It is when both are falling. And that is historically associated with inflation shocks, which is precisely those events that

happened not overnight, but happened over the course of a quarter, if not more.

which is precisely where you start observing those negative trends in both, which is exactly what your medium-term-term follower is here to address. So in a way, being very vigilant about macro shocks, what an investor would do is to look into the macro regime and policy reaction and try to deploy hedges for the entirety of the equity one portfolio, which is precisely the times that whatever the trends are, a trend follower would capture them. So that would be my approach of demystifying. What are the downturns that your portfolio is exposed to? In a pure equity, is equity down. So if it is really equity down, maybe moderate the positive equity risk you deploy in your trend follower. And that's okay. But it's not that the increased leverage is creating the concern here. It's the increased leverage on the asset that you're highly concentrated.

And that's how it probably approach that and look at it. That's my take, at least. No, I think that that's absolutely fair. Absolutely fair. All right, well, let's move on to one of the two papers that you have had some involvement with and that we mentioned briefly only last week. So I'm excited to get into it in much more depth. The first one is called Thematic Investing as Missing Factors by Wei Li. There might be another author, I'm not entirely sure, could be. Now, it looks at the construction of a theme specific basket, I think, or it could be an industry, it could be a style. But anyways, I'm not going to steal any of your thunder. So tell me a little bit about the paper and why we're going to be talking about it today. Yeah, for sure, for sure. And I guess to clarify my involvement, it's more about because it's a topic I feel...

very engaged with and I'm following it and I'm spending time kind of doing a bit of research speaking to a couple of people in the space. But I have not been a contributor to those papers by any measure. And you know, Joaf was very good in terms of kind of going through some of the findings. He was indeed here at the conference we did. And obviously Kudos to Robert Kosovsky for kind of allowing us to host the event here at GS. And I must say in passing, and we're going to go to the thematics, maybe connected to your earlier statement, right? AI and the use of the machine learning and AI models has become now very, very common in pretty much all the topics

we had. So there were topics about portfolio construction, or how can we basically utilize machine learning in that space, or how we can do equity market forecasting, or here's like a nonlinear model to do so, or let's look into sentiment and thematic associations, or here's another kind of LLM model that we can utilize to do so. So in one way or the other, you start seeing all these financial economics research coming up with new technologies in terms of tools. So I'm making that point because we did not focus on having that as a topic, but it was the overarching If you like thematic throughout the day, right? So it was a good day. So those that came, I hope they had a good time. So if we go to the thematics and the narratives and however you want to call them, I prepared a bit of an intro to the topic and I'll try to complement what you have said last week. So at least we don't basically say the same thing. So that's an invitation for people to go back to last week as well. There you are in the advertisement. Thank you.

So let's take a step back. We are doing quantitative investment. What do we try to achieve? Frankly speaking, we try to be profitable, whether that is in stocks or across all the asset classes, by capturing, broadly speaking, two types of scenarios. Either there is an underlying risk and we deploy that risk and we expect compensation for it. Think of a value investor for instance, right? You know you're basically taking on downside risk or some default risk or however you want to call it And then you expect compensation for it. So there's a natural risk sharing mechanism You don't want to hold it. Okay, I'm happy to hold it as long as you pay me an extra premium. That's it's it's very rational so that is if you like heterogeneity between investors and the way they perceive risk and the way they react to it and in that kind of clearing activity, someone is holding the riskier asset, expecting compensation for it and somebody else is paying for it. So that's case number one. Case number two are more like behavioral or structural inefficiencies. And I think trend following is the primary example here, but we can talk about low beta, for instance. So low risk stocks are typically coming with a greater than expected sharp ratio.

primarily because of leverage constraints, pension funds, for instance, they cannot deploy any significant leverage, but they have a benchmark to beat, and therefore they go for the higher beta or the higher volatility names, and

that creates an imbalance in the market. So that's more like a structural design that leads to systematic investing benefiting from getting into low beta names. So those two pillars, and I'm not talking about like the more kind of high frequency kind of startup. I'm talking about systematic investing in the context of a medium term, medium term frequency model. So these are the two pillars. Then what you end up having in systematic investing is the necessity for a risk model. And the risk model is here to obviously explain what we're exposed to and how do we do so? Well, we basically take asset returns and this can be stocks or multi-placer classes. We project them.

onto what we call characteristics, could be valuation, volatilities, momentum returns. And we managed to explain portfolio risk as a combination of factor risk or rewarded risk. It's not always rewarded by the way, but factor risk and then the idiosyncratic one. Now, and I'm making this point because I think it's critical as soon as we go to thematic investing, at risk factors are not always a risk premiere. Risk factors explain risk, some of which, when you're exposed to, come with some compensation. It is a risk premium. I think a good example is countries. Unless it's a systematic reason why some countries should outperform others, there is no risk premium associated, but there are a significant component in a risk model to explain risk exposure. I'll come back to that point when we go to thematics.

Last but not least, the risk models are just reducing dimensionality. You have a thousand assets or whatever, 300 markets in a trend follower, you have a risk model and that breaks it down to, I don't know, 10 or 20 factors. So it also makes the portfolio from a risk assessment standpoint easier and more tractable. Now, why is all that relevant for thematic and narrative investing? Because in the recent years, and I would say maybe after we went past COVID, There has been a bit of transition in the investment thesis more around thematics. I think the stay at home theme that we had back in COVID is just one of the very many examples that obviously banks came up with. There were thematic baskets and businesses built around that and hedge funds utilizing that product to take on some active bets or perhaps hedge.

specific exposures. But to me, themes are nothing more than a tagging operation. It's just a categorical way of combining assets in a particular group that share some common feature. In the same way as you have high positive trend commodities or you'd have cheap stocks or you have high profitability names, you also have names that belong to a geopolitical risk thematic or AI transition and maybe some stocks have or are part of the AI revolution. Maybe some others have exposure and commonality in the thematic and they're exposed to the thematic if the thematic kind of builds up and hopefully you'll see where I'm going with this one. I mean, I can give another example and I prepare this example so at least we can have something to kind of compare against, right? I can tell you that we built a portfolio of stocks that happened to start from the same name, from the same letter. So all the stocks from A and all the stocks from B and all the stocks from C, right? I mean, this is no different just grouping stocks on a specific thematic, right? It's another tag and exercise. And frankly, if people start talking about the theme A, theme B, theme C, theme D, I think The reaction would be that the correlation and the risk of those baskets will start increasing, right? And therefore, risk has to take that into account. So here we are today with a specific thematic, let's call it AI, just to pick one. Somebody could argue that this category has a fundamental connection. So there are firms that are exposed in the AI hype, or they participate with, or the CAPEX, or the development of the models, da-da-da-da.

leads to higher correlation between them, right? Which is obviously maybe perhaps a consequence of the fact they belong in the same sector. These days we have the memory chips for example, right? So they are a sector, but also the underlying thematic is making that association even tighter. So the cross correlation increases. And I think this is the consequence of now investors thinking in that package manner. Right so the correlations not only do they increase because they're part of the same sector or maybe exposed to the same macro socks or the same Network of vendors and providers of services But also people think and investors think of those names as part of those groups and they allocate to the groups and that activity You know if the market is not elastic enough it starts building some some some short term price dislocation And you know where I'm going, right? That's what we call momentum at some point, right? Something becomes very hypey, and because it's hypey, there is more allocation to it,

and because there's more allocation to it, some price path is starting to be established, and then people with short term momentum signals will capture that, and then one thing brings the other, and this kind of mini activity, I would not call it bubble, by all means, but mini kind of...

price pressure is delivering a trend. Now, let's start getting now into those papers. In a conventional risk model, what we try to do is explain the risk and return, the risk in particular, but return to or return co-variation if you like, through either fundamental characteristics, momentum, valuation, profitability and so on and so forth, or some form of categorical associations, countries, sectors, industries. So the truth is that some of those characteristics, if systematically being utilized in your alpha, some of the categorical, not necessarily, but if you have good ability of timing, country exposure, or maybe sector exposure, maybe you can grab some alpha. So we're thematics now. Coming to the picture is that now suddenly we have a new dimensionality reduction space, which has both the risk implications because of what we're discussing up until now, this association with the thematic, but also perhaps an outperformance association. If a specific theme is rising and you're early enough, well done. So what those two papers talk about is taking the two concepts associated with thematics, One being risk implications, the other one being return implications, and go through analysis that introduce thematics and artist into risk models, that's the first paper, or they utilize narratives and narrative momentum as the engine underlying potential outperformance, precisely because there is hype around thematics.

very long-witted intro, only to argue that thematics in my mind is another way of reducing dimensionality, that could have risk implications and could have dynamic allocation decisions, perhaps leading to outperformance, even if we cannot easily associate a risk premium to the thematics themselves. There is no particular reason why a stack inflation macro narrative should outperform long term. But there are times it can perform if the assets said with it benefit from the thematic becoming more and more popular, which is again a trend following mindset at the end of the day. It's the inter-temporal demand for a particular asset that goes beyond the risk assumptions. So let me make a pause, but if you want me, I can then go through some of the main findings or the analysis of the two papers. But I

think it was important to frame everything that has to do with thematics in the broader context of how do we assess risk, how do we assess return, where return is coming from, and how we should explain this ecosystem of investment as a whole. Sure. Obviously, super elegant way of explaining. So every time I have to come up with a With a little question here, I feel that I'm probably starting at a disadvantage point to make a sound. But let me try. Now, from my background, you know, from the trend following background, it kind of sounds like, okay, so we know we can group things together, we know they will be influenced by themes.

Since this is not something that we do, so I don't have any experience with it. But what seems to be clear to me then is that part of the success lies in the strength of the theme, right? If some themes become stronger, then you would think that that thematic investing group approach, whatever we call it, will perform better. So my question to you is, is there... away or maybe it is something that people do to actually instead of thinking about trend strength, to think about theme strength and to measure the strength of a theme and make it part of the kind of the investment process. So that's probably where I'm going with this one. In the sense that think that you're a trend follower and you're allocating to commodities, rates, currencies and equity markets.

The way you express risk in that context is through a covariance matrix that looks historically into which markets correlated the most and which are the more volatile and so on and so forth. What this perhaps is missing is that some of those assets point in time start creating clusters that go beyond what historical analysis can suggest. Like for example, there could be specific equity regions. and maybe currencies and perhaps commodities that are closer associated with a macro shock. Now, by deploying risk in those markets, we're basically trying to build good covariance matrices that somehow reflect what we expect to happen. But thematic association is short lived. So there is an argument to be had on creating better covariance matrices so that tomorrow the way we have deployed risk is going to reflect how risk is distributed and get realized. So what the first paper says or shows, the paper by Wiley, is that if we don't account for thematics in our covariance matrix, and they do it in stocks, but I think we should think bigger than just the stocks here, if you do not account for those thematics,

which are again subclasses of activity that perhaps historically were not there, But today, commonalities start arising. If we don't account for those, then our prediction of portfolio risk is biased upwards. So we're more risky than what we should have been had we accounted for it. So we're not accurately distributing risk. That's statement number one. And that's for a trend follower, to your point. The second one has to do with... We typically use prices.

And we argue that prices are enough for us to get to tomorrow's prediction. And maybe there are those models that you and I have discussed and the street has now kind of become quite big on them, like the economic trends, which say, okay, there's the underlying trend of a price path is looking for proxies. One proxy is the past path. Another proxy is the economic regime. Another proxy is what is this asset associated with it? Is it associated with thematics that grow? Does it have high exposure to them? And does it have a positive exposure to them? Or does it have a negative exposure to a fading narrative or a fading thematic? Both of which should contribute to narrative strength for that asset. Why? Because, well, if something is rising and you're possibly associated with it, that's an indication of you kind of following with it as long as it continues growing.

So the second paper called narrative momentum suggests that look narratives do not come and go overnight they come they stay and they fade and through that cycle of popularity picking up at some point hitting the peak and then start dropping and losing if you like strength you have short term association of markets and stocks with that rising narrative. So if you had an ability to measure that. and capture that with some beta, you could, in theory, enhance your allocation model and say, you know what, not only does it trending upwards or maybe not only inflation and growth are accommodative, but perhaps its own score to the prevailing narratives because we can now rank them and cross-sectionally find them more relevant ones is very positive. So enhance your signal, add more to it. And I think there is something here at least worth exploring. And that's what this paper is talking about. It says, look, the stocks that happen to have higher exposure on narratives that are becoming more popular outperform those that have less exposure to narratives that are fading. And that's what the, you know, that's the gist of that paper. They obviously look into too many

other things. I think for us, the more relevant topic here is that this is not just price momentum, right? So it's not that I'm packaging price momentum and I'm giving it to you like, you know, interrupt paper.

With a nice color on top and say, hey, that's something new. I think the beauty here is to say there is a reason why price momentum exists. So if you go a few months back before price momentum was there, there is an underlying engine that is creating excess demand so that tomorrow Nils and Nick will come and say, oh, here's a positive trend. Let me just buy into it. So what could be that? It's an underlying, perhaps, mechanism in the market that is creating this positive trend in the excess demand that comes perhaps from fundamentals or from narratives. Who knows, but there you are. So another question that pops up when I hear you explain that is, again, I come from this world where predominantly price is important, at least to what we do at Dunn, but I fully recognize that there are other ways that people exploit trends now and so on and so forth. But from a research point of view, the beauty about price is that it's objective, it's recorded. We can go back several decades and we can do our research based upon this. What I find more difficult to fully comprehend is how do you even backtest a thematical strategy because a lot of these themes just kind of pop out and suddenly it's a theme and suddenly it's gone and so on and so forth. So just you don't have to kind of spend a whole hour explaining how you do that but is it even possible to test or how would you go about even thinking about testing a thematical strategy? Yeah, you can back test you can say of course if the if the theme is is AI. OK, we know that today, so we can go back and see how it did. But seven years ago, we didn't talk about AI. It wasn't a theme. So how do we even think about that from a research point of view? Yeah, that's a beautiful question. And I think it has two sub-questions. Number one, even if you could measure the thematics, what's the underlying data? And I think...

The the second paper this narrative momentum and I know you and you have discussed that last week, you know, they have this point in time data pretty much So, you know, I think 13 plus million of articles. Yes, correct anywhere from like no social media Actually social media, I cannot recall it's certainly articles corporate filings Trading blogs You know news news agencies They basically have this information since I think 2013 2014 from

from memory to 2012 or something And I'm searching drop and they take the 13.3 million articles and they did and they structure that into 347 narratives correct correct correct and they have obviously they have some robustness checks whereby they change the definition of those narratives they have like no 57 driven by the so-called JL classifications in academic journals. And I can actually talk you through that. Or they take some other narratives from some other academic papers just to showcase that the results are not dependent upon their definitions, but different attempts to have a collection of narratives has been popular. So that's the first point on the data. And I think they have this uniqueness in the data, which I think is very powerful. The second...

Point which you very nicely kind of alluded to is the one whereby Some narratives only become relevant as soon as we happen to know them and That's a forward-looking information that only in the presence of of which we can go back and test So I think I think here what we end up having to deal with is not too dissimilar in nature to the factor zoo So this is Factor Zoo, now we have, I don't know how many in the single stock world, in the hundreds of factors that frankly between us are highly correlated clusters. So if I say it's earnings to book or book to price, these are both valuation characteristics, but certainly at some point they became known and post that time we can go back and test them. So I think here we have like a narrative zoo. So in some sense, again and connected to my earlier points, it's a it's a dimensional reduction but in itself it creates a challenge. So my straight answer to your question now goes as follows. Precisely because book to price and earnings to price correlate and they are two different facets of valuation, we can make the argument that narratives are also correlated. So when COVID is a theme, before COVID and through COVID, healthcare could be another one. And you should expect high level of correlation after COVID arrived. But we did not have to know COVID before COVID happened had we had a healthcare narrative. And frankly, I don't think that healthcare suddenly became a narrative. I think there is a way, obviously there is, you know, there are design choices here and you know, the bias and so on and so forth. But there are ways of characterizing the narrative space with more generic or as one of the papers called the Evergreen topics that have been part of our ecosystem and will always be like for example, I don't

know, trade wars or stockflation or capital expenditure or maybe ESG, fine ESG is like 15 years old, but we cannot call it new today.

So there is certainly a point in time that most of which became a reality. But I think there is an argument to be had that 30, 40, 50, 60 topics that have everlasting nature can probably capture the inter-temporal new thematics that come just because they happen to be correlated. We cannot have 500 of them, possibly like 30 or 40 are enough. And that would be partly my defense. Nobody knew the Streets of Hormuz, but people did know geopolitical tensions. So I would expect the two to move together. And I think the counter to it is if you try to be very prescribed, you'll find yourself finding COVID, pandemic, healthcare concerns, and like five different ways of expressing pretty much the same topic, which is ultimately a health crisis.

So that would be my answer. Yes, there are design choices and limitations. But if we think that you don't need 500 of them, but maybe you need a dimensionality reduced core segment, in the same way as we have in factors, for example, there is probably a way out. So yeah, that's how I see it from a research perspective. No, no, no, no. You see what I mean, right? Yeah, no, I do. And, you know, I'm... Again, always just trying to turn it back to kind of the world I know more about and sometimes I wonder when I hear and read all these reports. Again, I can't help wondering sometimes if this is just kind of Wall Street's way of finding a new way of getting investors excited about something. And I'm not suggesting that there is no value to it, but I'm also thinking is it Is it how much different is it from just the way we have been doing it for 50, 60 years where we just say, yeah, energy markets are probably going to react more or less the same. And therefore we call them a sector. So let's just keep it simple, stupid, so to speak. I know it's a bit more nuanced today and I know there are lots of things. But in general, you're not going to be completely wrong by No, no, no, no companies together and just say, yeah, this is healthcare. This doesn't have to be COVID or some kind of flu bird flu influenza, whatever. It's it's it's healthcare. And there's no, I think you're absolutely right. My two points, my last two points on this one go as follows. There is an underlying price process and you need the best predictor. All we're saying is this f of X or G of X or H of X.

our transformations of what we observe. The price path in itself is not necessarily the best predictor, but it's an easily observable, easily calculated, and empirically validated. But in a prolonged, let's say, growth regime, it is not unreasonable to argue that the macro regime says by equities, the price path says by equities, and maybe the thematics are pro-growth. And therefore equities have high correlation and positive correlation to those thematic. So I definitely agree with you that these are all facets of looking for the truth, where the truth is the real signal and the denoising of it. So I don't disagree at all. I guess the other point, as you said, people look into different ways of reshuffling the story of investment. I think what happens is that in obviously with the world of AI these days, there is limited attention.

And there is too much dimensionality. And the ability of capturing news or capturing thematics reduces the impact of how we think and take investment decisions, specifically when they become discretionary. Obviously the systematic world is systematic. But that's how we look into the need of reducing dimensionality. It's just easier for the human brain to process. And I think this is really where this is coming from. I think the challenge for the trend-following CTA world is to come up with some really sexy themes that we can talk about and get people excited about this strategy. This was beautiful, Nick really, really appreciated. I know we left out two other papers that I only came across my attention in the last couple of days, so I will keep them. And they are more trend-following focused, even some to do with turtle trading i see is one of them and and there's another paper about the science and practice of trend flow system so anyways i'll keep them maybe for a couple of weeks because next week we have a very special mix of guests we have rich coming back next week they'll be exciting you'll be even more exciting because he's going to be joined by dave dredge and they they are both very much into adaptive systems and complex systems and all of that stuff. So we'll dig into some of that fun stuff. So if there is a question on that topic, by the way, by all means, send them to info at toptradersonblock.com. But before you do that, you should definitely go to your favorite podcast platform and show your appreciation to Nick for all of these insights, preparations and time spent on putting this together this week. We so much appreciate your support.

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